

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-09

TZ SSE Buyer, LLC v. COSCO Shipping Lines Co. Ltd.

RESPONDENT’S RESPONSE TO COMPLAINANT’S MOTION TO COMPEL

Respondent COSCO Shipping Lines Co. Ltd (“Respondent” or “COSCO”) hereby responds pursuant to 46 C.F.R. 502.69 and 46 C.F.R. 502.71 to the Motion to Compel (“Motion”) filed by TZ SSE Buyer, LLC (“Complainant” or “TZ SSE”)¹ on April 11, 2025. The Motion exceeded the permissible number of pages, so on April 14, 2025, TZ SSE filed an unopposed motion for additional pages, and for Respondent to be granted the same number of pages and an extension until April 22, 2025. Because that motion remains pending, Respondent has filed in accordance with the original deadline, although it has exceeded the page limit in the belief that the Presiding Officer will treat the Parties alike.

As we show below, Complainant’s discovery requests violate the Commission’s Rules or are otherwise excessive, improper, or unduly burdensome, and Respondent has produced all responsive documents that it has in its custody or control. Accordingly, the Motion should be denied in its entirety.

We note, but do not press, two ancillary issues. First, Complainant has been fairly dilatory in filing its Motion – 15 days after Complainant told the Presiding Officer that it was ready to

¹ As used herein, these terms include Complainant’s predecessors.

address discovery issues, 12 days after the Presiding Officer approved use of written motions, and only 17 days before the end of discovery (virtually assuring that any compelled production could not be produced within the discovery deadline and bootstrapping itself into seeking additional time previously denied by the Presiding Officer).

Second, we do not believe that Complainant has fully complied with its obligation to confer, as required by 46 C.F.R. 502.71(a) and 46 C.F.R. 502.150(a)(2)(ii). Although there have been some email exchanges about broad issues regarding interrogatories (but not the supplemental interrogatories), there has been no sit-down meeting (real or virtual) to address the specific issues raised by specific discovery requests. And except for Complainant's request for an explanation of the search terms (which Respondent gave), Complainant did not confer at all regarding Complainant's requests for documents. We certainly have never heard many of the assertions (mainly erroneous) Complainant now makes in its Motion. We nevertheless respond to and correct those new assertions below.

I. Complainant's Initial Interrogatories

A. Interrogatory 5.

Interrogatory 5 read,

“Identify and describe in detail Your relationship with Complainants and Laufer Group International (if any) connected with or relating to the shipments and Charges referenced in the Complaint. If You did not have a relationship with Complainants and/or Laufer Group International, identify and describe in detail the third-party with whom You had a relationship connected with or relating to the shipments and Charges referenced in the Complaint.”

Respondent objected and objects to this Interrogatory² as vague, but nevertheless explained that: (i) COSCO is a VOCC and Laufer an NVOCC; (ii) Complainant appears to have been a

² Complainant's original requests and Respondent's responses are reproduced in an Appendix to this Response.

customer of Laufer, which may have acted as a consignee/notify party; (iii) COSCO has no general or consistent “relationship” with Laufer, but rather an *ad hoc* relationship depending on the facts and circumstances of a particular shipment.

Complainant now argues, as it never did in our discussions, that COSCO’s response remains deficient because it fails to describe its commercial, contractual, or operational relationship with Laufer in sufficient detail. Complainant asserts (inaccurately) that Laufer acted as an NVOCC, arranged the relevant shipments on behalf of Complainant’s predecessors, and received the charges that COSCO assessed. Motion at 2.

Although Complainant’s argument purports to already understand Laufer’s role, its description is in fact wrong, as it should know. COSCO’s interactions with Laufer were much more attenuated than Complainant states, and COSCO’s contacts with Complainant practically non-existent. And, as COSCO said in its second response, any “relationship” between COSCO and Laufer would be an “ad hoc matter determined by the facts and circumstances of a particular shipment.”

COSCO has already told TZ SSE that the shipments at issue did not move pursuant to any service contract between COSCO and Laufer (or Complainant). Nor was Laufer named as the Shipper on the COSCO bills of lading (all produced to Complainant). Instead, all the shipments were transported pursuant to service contracts between COSCO and companies located in Asia (all disclosed to Complainant), which also acted as the bill of lading Shippers for those shipments. As far as COSCO is concerned, Laufer was not acting as an NVOCC *at all*, since it was not the shipper vis-à-vis COSCO. Nor has Complainant produced any Laufer house bills of lading, which would have indicated that Laufer acted as a carrier vis-à-vis TZ SSE. It thus appears that Laufer was performing logistics management for Complainant, not acting as an NVOCC.

Complainant further argues that COSCO possesses bills of lading, invoicing records and shipment data that identify Laufer's role. To the extent that is true, COSCO has already produced all such records in its custody or control for each of the 525 alleged charges appearing on Complainant's Exhibit 1 that fall within the Commission's jurisdiction. 46 C.F.R. 502.145(a)(1).³

Thus, TZ SSE is fully capable of determining the "relationship" between Laufer and COSCO⁴ from the numerous documents produced by COSCO, including the highly confidential and commercially sensitive service contracts concluded with shippers in Asia pursuant to which the bills of lading were issued. COSCO can only repeat its response that it "has no general or consistent 'relationship' with Laufer." COSCO's relationship was with the shipper in Asia, and any incidental relationship with Laufer may be determined by reviewing the bills of lading and other documents COSCO produced.⁵

II. Complainant's Initial Requests for Production of Documents

A. Request for Production ("RFP") 3.

RFP 3 read,

"Produce any and all documents, including but not limited to, invoices and payment records corresponding to such invoices, bills of lading, service contracts, and any other shipping documents, in any way connected with or relating to the shipments and Charges that You issued directly to Complainants or indirectly to Complainants through Laufer Group International (or their agents/representatives), or any other

³ Accordingly, Complainant's apparent suggestion that COSCO must go through the documents and explain Laufer's role for each of the 525 shipments is not just unduly burdensome and itself exceeding the maximum of 50 interrogatories, but also inconsistent with the FMC's rule regarding production of documents in lieu of interrogatory answers.

⁴ We assume Complainant is fully aware of its own, barely existent, relationship with COSCO.

⁵ Complainant now seeks to revise Interrogatory 5 by alleging that COSCO refused to "describe that relationship in meaningful detail" and has "undermined Complainant's ability to understand how and why these Charges were assessed." But that is not the question that was asked by Interrogatory 5, reproduced in full above. That question can only be answered (with respect to each of the charges alleged in Complainant's Exhibit 1), which Complainant may do from the documents COSCO produced.

Person(s), including but not limited to a third-party shipping carrier, forwarder or agent, during the Relevant Period as referenced in the Complaint.

Respondent objected to RFP3 to the extent it sought information already in TZ SSE's possession, as well as to the extent the request suggested that COSCO had issued any invoice directly or "indirectly" to Complainant.

Complainant now argues⁶ that COSCO has failed to produce documents that correspond to the shipments in question. Motion at 4. But that is simply untrue. To the contrary, COSCO has searched for and produced *all* of the documents that it has in its custody or control relating to the alleged charges. These have been produced to Complainant as COSCO_000001 – COSCO_0001812 and include, *inter alia*, invoices, bills of lading, service contracts with third parties, and email communications. COSCO has no records regarding many of the charges that Complainant asserts were paid by Laufer for the simple reason that they involved *neither* charges invoiced *by COSCO* nor payments made *to COSCO*.

B. RFP 7 and 8.

RFP 7 read,

"Produce any and all communications between Complainants, Laufer Group International (or their agents/representatives), drayage companies and transportation companies for Complainants, and/or Respondents (or its agents/representatives), or any other Person(s), including but not limited to a third-party shipping carrier, forwarder or agent, that is connected with or relating to the shipments and Charges referenced in the Complaint."

RFP 8 read,

"Produce any and all communications between Complainants, Laufer Group International (or its agents/representatives), Respondents (or its agents/representatives), and/or any other Person(s), including but not limited to a third-party shipping carrier, forwarder or agent, connected with or relating to the Charges You assessed to Complainant as alleged in the Complaint."

⁶ As stated above, Complainant has never addressed the requests for documents with COSCO (beyond asserting the emails produced did not relate to the shipments in its list). Nor has it sent a notice of deficiencies about them.

Respondent objected to RFP 7 and 8 as overly broad and unduly burdensome with respect to the request for “any and all communications” involving literally “any ... Person” about anything relating to each of the shipments or Charges in the Complaint. Complainant never offered any narrowing.

Complainant again asserts that COSCO failed to produce documents that TZ SSE thinks COSCO should have -- “targeted communications between Respondent, Laufer, Complainant’s Predecessors, and the trucking companies involved in the pickup and return of containers” referenced in Exhibit 1. Motion at 5. Quite to the contrary, COSCO undertook a comprehensive and burdensome search of its records for any communications relating in any way to any of the bills of lading listed in Complainant’s Exhibit 1 and has produced all of those documents to Respondent. COSCO_0001175 - COSCO_0001373; COSCO_0001374 - COSCO_0001660.⁷

With respect to Complainant’s supposed quibble about the ESI protocol, COSCO searched and produced documents in accordance with the draft presented to COSCO by TZ SSE on February 17, 2025. TZ SSE thus has no grounds for complaint.⁸

C. RFP 11.

RFP 11 read,

“Produce any and all documents connected with or relating to your common practices, policies and regulations in assessing demurrage, detention, per diem and yard storage charges, such as the Charges issued to Complainants during the Relevant Period and as referenced in the Complaint.”

⁷ COSCO collected several terabytes of data from all likely custodians and customer service portals, and engaged, at considerable expense, a third-party e-discovery vendor to search across those terabytes of data for responsive communications. Specifically, COSCO’s vendor searched for references to each of the bills of lading listed in Complainant’s Exhibit 1. These were produced to Complainant as COSCO_0001175 - COSCO_0001660. In addition, COSCO also ran extensive word searches against its customer service portals and produced all documents resulting therefrom. COSCO_0000010 - COSCO_0001164.

⁸ We note, however, that TZ SSE has not likewise complied with its own ESI protocol.

Respondent objected and objects to RFP 11: (1) as vague, overbroad and unduly burdensome; (2) to the extent it implies Respondent assesses “yard storage charges”; and (3) to the extent it suggests Respondent issued anything directly or indirectly to Complainant.

COSCO, like many, if not all, ocean common carriers, has a plethora of policies that might be deemed to be “connected with or relating to” the assessment of demurrage, detention, and per diem. It has *no* such policies regarding “yard storage” because COSCO *does not assess* “yard storage.” Any such charges would be independently assessed to Laufer, Complainant, or one of their agents by a railroad or a terminal, or perhaps another third party with which Complainant or Laufer contracted.

Like modern companies generally, COSCO has long passed the stage where policies are kept in a policy book or binder. COSCO’s policies are published for all to see on its website and/or tariff publication. See, <https://support.cosco-usa.com/support/home> and <https://elines.coscoshipping.com/ebusiness/tariffForCoLtd/tariffRule>. Thus COSCO’s policies can be easily obtained by TZ SSE “from some other source that is more convenient, less burdensome, or less expensive.” 46 C.F.R. 502.141(e)(2)(ii)(A). If Complainant seeks elaboration or explanation as to any of these policies that COSCO actually maintains, it can ask COSCO’s 30(b)(6) witness at his upcoming deposition.

Complainant newly asserts in the Motion that its request is for “memos, policy directives, training materials, or procedural manuals.” Motion at 7. Apart from the fact that this is not what the request says, Respondent confirms that it does not have any such documents in its possession or control.

III. Complainant's Supplemental Interrogatories

A. Supplemental Interrogatory 4.

Supp. Interrogatory 4 read,

“Identify and describe in detail the nature, scope, and duration of Your relationship with Laufer in connection with or relating to the shipments and Charges referenced in paragraphs 13–15 of the Complaint as well as **Exhibit A** below.” (bold in original).

Respondent objected to Supp. Interrogatory 4 as vague and because this information is more readily available from Complainant's assignor Laufer. Complainant did not serve Respondent with a Notice of Deficiencies or attempt to confer with respect to its response to Supp.

Interrogatory 4. As explained above, Respondent has produced to Complainant all the documents that Respondent might use in responding to this interrogatory. Accordingly, Respondent has already responded fully in accordance with 46 C.F.R. 502.145(a)(1).

Much like Complainant's initial Interrogatory 5, Complainant complains that COSCO's response is “vague and ambiguous.” Motion at 8. But vague and ambiguous interrogatories beget similar responses. Complainant also makes factual assertions that are unsupported and untrue. For example, Complainant asserts in the Motion that COSCO “issued the very Charges [apparently referring to all charges listed in Exhibit 1] at issue...directly to Laufer.” Motion at 7-8. That is false. Most of the alleged charges were not assessed by COSCO at all, but by an unknown third party. Likewise, the claim that COSCO assessed all the charges *to Laufer* is false, even for the charges that were issued by COSCO, as opposed to a third party. Some of them were, and for all of those, COSCO has produced the invoice it sent to Laufer. But other COSCO charges were not assessed to Laufer, but rather to other parties involved in the transportation process.

Complainant also asserts that Respondent must have had a “relationship” with Laufer, or it would not have “issued Charges to Laufer in the first place.” Motion at 9. We have addressed the nature of COSCO's attenuated relationship with Laufer both in COSCO's responses to

Complainant and in connection with Interrogatory 5, above. And as explained immediately above, most of the charges on Exhibit 1 were not COSCO charges and not all COSCO charges were invoiced to Laufer. Further, if TZ SSE believes that additional invoices from COSCO to Laufer exist, it should get them from Laufer, its assignor, which is contractually obligated to provide them to Complainant. All we can say is that COSCO has provided all of the invoices that resulted from numerous searches of its records.

Finally, Complainant asserts that COSCO refused to “acknowledge or describe the basis for this billing relationship.” Motion at 9. To anyone at all familiar with international ocean common carriage, the “relationship” is no mystery – the Commission’s rules recognize it. To the extent that there was any “relationship” at all between COSCO and Laufer, it was because Laufer was a consignee on bills of lading issued by COSCO at the instruction of COSCO’s customer, the service contract shipper, with whom Laufer contracted for service. COSCO produced those bills of lading, so has fulfilled its obligation per 46 C.F.R. 502.145(a)(1).

B. Supplemental Interrogatory 8.

Supp. Interrogatory 8 read,

“For each demurrage, detention, per diem, or other accessorial Charge that You issued as referenced in paragraphs 13–15 of the Complaint and Exhibit A, explain in detail whether each invoice included specific instructions on how to dispute the Charges. If so, specify whether the instructions included:

a. The method(s) of contact for disputing the Charges (e.g., email, telephone, mail); and

b. The specific information, documentation, or materials required to submit a dispute (e.g., photos, receipts, forms), and whether these requirements were clearly accessible on each invoice.”

Respondent objected to Supp. Interrogatory 8 as exceeding the permissible number of interrogatories and as vague, overly broad and beyond the permissible scope of discovery. TZ SSE never served a Notice of Deficiency or sought to confer with respect to its Supp. Interrogatory 8.

As explained above, Respondent has produced to Complainant all the documents that Respondent might use in responding to this interrogatory. Accordingly, Respondent has already responded fully as specified in accordance with the FMC Rules.

In any event, it is obvious on its face that this interrogatory far exceeds the maximum of 50 set out in the Commission's Rules. Because there is no unitary or uniform answer, the interrogatory necessarily requires 525 responses – one for each of the 525 shipments appearing on its list -- to “explain in detail whether each invoice included specific instructions on how to dispute the Charges.” We hope all will agree that 525 is more than an order of magnitude greater than 50.

C. Supplemental Interrogatory 14.

Supp. Interrogatory 14 read,

“For the invoices in Your possession relating to the demurrage, detention, per diem, and other accessorial Charges referenced in paragraphs 13–15 of the Complaint and **Exhibit A**, identify the specific Person(s) or entity/entities who paid You for those Charges” (bold in original).

Respondent objected and objects to Supp. Interrogatory 14 as exceeding the permissible number of interrogatories, as vague, overly broad and beyond the permissible scope of discovery, and as seeking information already in the Complainants' possession.

Complainant has not served a Notice of Deficiency or sought to confer with respect to COSCO's response to this interrogatory. As explained above, COSCO has produced all the documents that COSCO might use in responding to this interrogatory. Accordingly, COSCO has already responded fully in accordance with the FMC Rules. And as with Supp. Interrogatory 8, this interrogatory by itself calls for an order of magnitude more responses (525) than the FMC Rules allow (50). In any event, COSCO has produced the invoices in its custody and control.

D. Supplemental Interrogatories 10–13, 16

Supplemental Interrogatories 10, 11, 12, 13 and 16 read,

10. “Identify the specific Person(s), entities or departments within Your company responsible for assessing and invoicing the Charges to Laufer or any other Person(s), including but not limited to third-party shipping carriers, forwarders, agents, or truckers (drayage companies), in connection with the shipments and Charges referenced in the Complaint and **Exhibit A.**” (bold in original)

11. “Identify and describe in detail whether, during 2021–2022, Respondent maintained a specific department responsible for handling demurrage, detention, per diem, and other accessorial charge claims or disputes. If not, please identify and describe in detail which department or Person(s) received such claims or disputes sent to SHAPERDIEM@coscon.com, as referenced in Your answer to **Interrogatory No. 20** from Complainant’s First Set of Interrogatories.” (bold in original).

12. “Identify and describe in detail whether, during 2021–2022, Respondent had any specific guidelines or criteria for deciding whether to reduce or waive demurrage, detention, per diem, or other accessorial charges upon receiving claims or disputes at SHAPERDIEM@coscon.com. If yes, please identify and describe in detail those guidelines or criteria. If no, please explain in detail why no such guidelines or criteria existed and describe what steps were taken to decide whether such charges would be lowered or waived.”

13. “Explain in detail whether You considered the extraordinary/unprecedented circumstances occurring during 2021–2022—specifically the severe port congestion and equipment shortages well-known throughout the maritime transportation industry—when assessing demurrage, detention, per diem, and other accessorial charges (for example, by extending the number of Last Free Days for container pickup or drop-off). If so, please:

- a. Describe the specific considerations You made;
- b. Identify any guidelines or reports related to these considerations, and
- c. Explain how You notified Your customers, including Laufer and any other third-party carriers, forwarders, agents, or truckers (drayage companies) about these considerations, including how they could take advantage of any extensions or accommodations.

If You did not take such circumstances into account, please explain in detail why not and what steps, if any, were taken when assessing or mitigating these charges.”

16. “If some of the shipments referenced in paragraphs 13–15 of the Complaint and Exhibit A were carried under CY-to-CY terms, please explain whether, as part of a CY arrangement or any other type of transportation arrangement used for each shipment in paragraphs 13–15 of the Complaint and **Exhibit A**, it is Your responsibility as a vessel operating common carrier to ensure that containers arriving at U.S. ports and

terminals remain accessible and retrievable during the Last Free Day (“LFD”) period You provide.

a. If yes, describe in detail the policies, procedures, or practices You employ to meet that responsibility.

b. If no, describe in detail the reason(s) why it is not Your responsibility, including reference to the specific terms in any relevant service agreement or other arrangement applicable to each such shipment, which indicate that it is not Your responsibility.” (bold in original).

Respondent objected and objects to each of these interrogatories on the ground that they exceed the permissible number of interrogatories and as vague, overly broad and beyond the permissible scope of discovery. As each of the Supp. Interrogatories 10, 11, 12, 13, and 16 seek a response *for each of the 525 shipments* listed in Complainant’s Exhibit, they exceed the number of allowable interrogatories.

CONCLUSION

For the foregoing reasons, the Presiding Officer should deny the Motion.

DATED: April 18, 2025

Respectfully submitted,

/s/ *Rebecca A. Fenneman*
JEFFREY/FENNEMAN LAW + STRATEGY, PLLC
Rebecca A. Fenneman
RFenneman@JeffreyFenneman.com
Eric C. Jeffrey
EJeffrey@JeffreyFenneman.com
Kaya C. Massey
KMassey@JeffreyFenneman.com
Nicholas L. Webb
NWebb@JeffreyFenneman.com
700 12th Street, NW Suite 700
Washington, DC 20005
202-904-2301
**ATTORNEYS FOR RESPONDENTS,
COSCO Shipping Lines Co. Ltd.**